

NOTHING IS ENJOYABLE UNLESS . . .

This is a story about feeling nothing, a story about dopamine, a story about the phases we go through to learn to trade, a story about “throwing up” and feeling alive.

Finally, it is a story about loving yourself and buying some new clothes.

Am I suited for this world? Is my mind getting what it needs to thrive or even survive? If I believed in reincarnation, I imagine I would have an impressive hunter some 100,000 years ago. I would have relentlessly hunted to provide for my tribe, my family, my children, and my friends.

It would have stimulated me. The ferocious berserker in me would have had an outlet. I would have had purpose every day. I would have passed on my skills to the younglings, so that they could provide for the tribe, and keeping us alive through the scarce times as well as through the abundant times.

I would have been addicted to staying alive, and I imagine I would have done a great job of it. I would have kept my tribe safe from threats. I would have laid down my life to protect them.

Imagine what would happen, if you took away all hunger, all threats, and the food was brought in on silver platters? Imagine you didn't have to worry about being hungry? Imagine you became obsolete through the use of innovation.

What would I do? What would you do?

My mind would crave stimulation, but now there was no stimulation to be had. Nothing would be enjoyable anymore. Normal life would not be very interesting. It would be boring. There was no hardship, nothing to strive for. All the survival needs were met.

So, I had to invent my own stimulation!

Life was hard 100,000 years ago, but it was simple. Try to stay alive for as long as you can, until you have passed on your DNA. Job done.

Life today is easy, but it is not simple. We don't need to leave our homes anymore for food. 100,000 years ago, we ate all we could, because the next famine was always lurking around the corner. Now we have to tell our minds not to overeat. We need to override our natural urges.

Life has become hard in a very strange way. We don't really have anything we have to do, once we reach a certain level of financial threshold, so we make up things to stimulate our minds.

We become traders. We become athletes. We become scientist. We invent things to do. We invent “purpose”. We run a marathon “just because”. We climb a mountain, “just because”.

However, some of us needs this stimulation a lot more than others. How often I get asked “Why are you doing this?”. I do it to stay alive. I do it because I NEED IT to stay alive.

Over the weekend I was at a friend’s christening, and I heard a woman talk about her exercise program to a group of other women. “It is not really a good exercise, if I am not lying on the floor after, with not an ounce left in me to give”.

The other women strongly opposed this view. Later I spoke to her, and I said “I get it. I get you. Some of us needs to feel more than others do. We need it to feel alive. If we are not allowed to express ourselves, we wither. We die inside. When you die inside, the pain is horrible, and you try to numb it with food, with drugs, with alcohol, with anything that stimulates a sensation of being alive.

It is not that I am ill. It is because I am so alive. My brain is not suited for anything but full throttle. It gets easier as you grow older. Your body slows you down, but your minds is shaper than ever, because you now also have experience.

My trading life has evolved. I can see distinct phases of development over the course of the last 2 and a half decade. Although there are degrees of overlap, I would classify them in terms of my involvement and passion, and my circumstances in life.

Phase 1

The word “trader” was a label I wore with pride. I had no idea what I was doing, and my successes were short-lived, and my failures were protracted. Nevertheless, I persisted, although I never graduated to higher levels of trading because all my focus was on technical analysis.

Phase 2

I eventually managed to make something of trading, but it was always a side hustle, with my real job taking all my time. Lucky for me I was working on a trading floor, which enabled me to earn and learn. Still my successes were short-lived, and my failures were protracted.

Phase 3

Then I was made redundant. Now I had time. I had money. I had skills. What could go wrong? Everything apparently! Yes, I had the skill to pick great entries, but so what, if you can't get out when you are wrong. My successes were many. Truly many. But my failures were huge and protracted.

Phase 4

Then I took time out. I started thinking about "me". Why am I not a success? Why am I unable to close a losing trade? Why am I inclined to chase the market? Why am I impatient? Why do I have skills, but I dare not act upon them? Why am I greedy? What do I have to do to become the person I know I can be?

My successes became less, but they became bigger. Whenever I focused and prepared, I was rewarded. When I "cruised on old behaviours", I went straight back to phase 3.

Phase 5

I am work in progress. Thank God for that. I have 7 or 8 winning years behind me. I have my moments of greatness and my moments of madness. Overall though I am "cruising on new behaviour".

The key term is patience and one step at a time – planned – every day.

A key part of phase 4 was to discover how I perceived failure. Pain from failure was something I understood little of. I observed my mood. The markets are not a playground. I had to stop going there when I felt a range of emotions, such as boredom, feelings of revenge, feelings of being invincible. I had to accept that to perform best I had to feel the least.

The part of the brain that process pleasure is the same part that process pain. When we feel pleasure, it is like a pendulum swinging in one direction. Eventually it will swing in equal measures in the opposite direction.

The governing principle of the mind is that it wants to stay in balance. I never understood that. When I was happy, I didn't understand why I was beginning to slide into a neutral state, and then I would slide into a slightly depressed state.

When I was depressed, I would act out, hoping to swing the pendulum back into "positive mode" again. I didn't understand that it was my own evolution that caused

the brain to protect me from being happy or sad all the time. Homeostasis – a self-regulating mechanism to create internal stability.

When I won in trading, and I won, especially when I won big, I didn't understand that my brain was now trying to tip the scales to the other side, which is what it does, and which is what it is meant to do.

I fought it. I traded bigger and bigger, and more and more frequent, to feel alive, to tip the scales back into pleasure mode. This creates a dopamine deficient state, because I have overindulged so much in the dopamine reward activity.

I am now so "overdue" a reset, and my body down regulates my dopamine, so now I am feeling nothing. Nothing gives me joy. It is essentially a sort of clinical depression, albeit for a short period of time.

When my awareness of "the balance" became apparent, in part through working with an elite trader, and in part stopping drinking, and in part of the realisation that I never wanted to work in London ever again, I went back to basics. I deconstructed my behaviour using PowerPoint visuals, going through my old trades again and again, to the point where I could "re-live" them, without feeling anything.

I think we humans need to become much better at understanding ourselves before we attempt to make money from trading. We need to feel witnesses in the context of a social structure and in relationships.

I often walk in nature, saying to myself "I see you. I feel you. I hear you. I understand you. I accept you. I love you." This allows me to go to work, knowing that whatever happens, I am good enough. I am strong enough. I am resilient enough. I am ready for anything that the market can throw at me.

And I need that. Otherwise, I would have not lasted as long as I have – not at this level – not with these sums – not with this level of commitment.

Anyway, I think that is enough introspection for one day.

I will finish with a funny story. I was in Copenhagen recently. As usual I looked like a hobo. In fact, hobos tend to be better dressed than I am. I walked into a big street food market, with hundreds of people sitting down eating. I got my food and sat down. Two tables down there was an elderly man and woman eating. The man recognises me. I spotted it. He turns to his wife and whispers something. She looks over at me, sizes me up and down, and turns to her husband, and in a way-too-loud voice says, "maybe he should spend some of that money on new clothes".



Tom Hougaard – the hobo